

avantel

AVANTEL LIMITED

RISK MANAGEMENT POLICY

AVANTEL LIMITED

CIN: L72200AP1990PLC011334

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RISK MANAGEMENT POLICY

1. Risk Management:

Avantel Limited (the Company) recognises that enterprise risk management is an integral part of good management practice. The purpose of this policy is to articulate our approach and expectations in relation to the management of risk across the organization. Risk Management is an essential element in achieving business goals and deriving benefits from market opportunities.

Effective risk management allows us to:

- Have increased confidence in achieving our goals;
- Manage risks at tolerable levels;
- Make informed decisions; and
- Strengthen corporate governance procedures.

2. Objective:

The risk management objectives are to;

- embed the management of risk as an integral part of our business processes;
- establish an effective system of risk identification, analysis, evaluation and treatment within all areas and all levels of the Company;
- avoid exposure to significant financial loss;
- contribute to the achievement of the Company's objectives; and
- assess the benefits and costs of implementation of available options and controls to manage risk.

3. Policy Statement:

- All employees are responsible for managing risk in so far as is reasonably practicable within their area of activity.
- Sound risk management principles and practices will become an integral part of the normal management strategy for all departments within the Company.

- Implementation of risk management strategy is a priority and will be accomplished through embedding a risk management ethos in all aspects of the Company's activity.
- Accountability for managing risk must be clear and reflected in all individual job descriptions, with relevant key performance indicators.
- The management of risk will be integrated into the Company's existing strategic planning and operational process and is to be fully recognised in the funding and reporting processes.
- Will ensure that the necessary resources are made available to those accountable and responsible for the management of risk.
- This policy will be reviewed and updated as required on an annual basis or in the event of a significant change of circumstances.

4. Roles and Responsibilities:

The Managing Director is accountable for ensuring risk is managed across all activities. The Risk Officer is the person responsible for drawing up a plan for the management of risk throughout the Company. Managers, at all levels, are required to create an environment where the management of risk is accepted as the personal responsibility of all employees, volunteers and contractors.

The Managers are accountable for the implementation and maintenance of sound risk management processes and structures within their area of responsibility in conformity with this risk management policy. All employees are to be actively involved in the management of risk.

The Risk Officer is responsible for the provision of advice and service assistance to all areas on risk management matters. In order for the Board to be properly informed of testation risks being faced by the Company, all departments are required to report regularly on risks assessed and progress with respect to their management.

Reports are to be submitted to the Board for each quarter utilising a standard format so that details of all identified significant risks can be addressed.

The quarterly report will be reviewed by the Committee in terms of endorsing the actions undertaken or proposed, and by the Board in terms of the appropriateness of actions and compliance with the Risk Management Policy.

As part of their compliance activities, all relevant departments will also be required to maintain a risk register that provides details of all identified risks together with the assessment of likelihood and consequence, who owns them and what can be done to manage them in compliance with the Risk Management Policy.

5. Education and Training

The Risk Officer is responsible for the development and provision of risk management awareness training as well as specific training and education programmes throughout the Company. This training and education is to address the needs of all directors, employees and volunteers including senior management.

for Avantel Limited

Sd/-

Abburi Vidyasagar

Chairman & Managing Director

DIN: 00026524

Place: Hyderabad

Date: April 25, 2024